# Dell Technologies Inc.

NYSE: DELL | Technology — Computer Hardware / AI Infrastructure (ISG + CSG)

| RATING | ACCUMULATE | 12-MTH TARGET | US$470 |
|---|---|---|---|
| CMP (03-Jun-26) | **US$421.08** | Upside | +11.6% |
| Market Cap | **US$273.5B** | Horizon | 12–18 months |
| 52-wk High / Low | US$469.47 / 108.01 | Conviction | Medium |

**Investment thesis:** AI-server supercycle has re-rated a low-margin box-maker into a hyperscale infrastructure compounder — but the easy upside is now priced.

| Metric | Value | Metric | Value |
|---|---|---|---|
| P/E (TTM) | 34.8x | Forward P/E (FY27E) | 23.7x |
| EV/EBITDA (TTM) | 20.8x | EV / Revenue (TTM) | 2.16x |
| P/B | N/M (neg equity) | Book Value / sh | -US$2.16 |
| ROCE (TTM) | 27.5% | ROIC (TTM) | 13.6% |
| Dividend Yield | 0.60% | Buyback Yield | 5.8% |
| Net Debt | US$19.6B | Net Debt / EBITDA | 1.5x |
| Beta | 1.38 | Altman Z / Piotroski F | 1.99 / 6 |
| Insider own. | 46.1% | Street (27 analysts) | Buy, US$483.83 |

Analyst: MPM Institutional Equities desk | Report date: 03 June 2026 | Source of all financials: stockanalysis.com (fetched 03-Jun-2026). FY ends late Jan / early Feb.

## 2. INVESTMENT THESIS

- **AI-server share leadership with hard visibility:** Dell exited Q1 FY27 with a record US$51.3B AI-server backlog and US$24.4B of AI orders in the quarter alone; management raised FY27 AI-server revenue to ~US$60B (2.4x YoY). This is contracted demand, not a forecast — it underpins the FY27 revenue guide of US$165–169B (+~50%).
- **Operating leverage is finally showing:** Q1 OpEx fell 610 bps to 8.4% of revenue (lowest in 20+ years) even as revenue grew 88%. Operating income is guided up >55% for FY27, so EPS (US$17.90 ± 0.25 guide) grows faster than revenue despite gross-margin mix dilution.
- **Capital-light, cash-generative model:** Negative cash-conversion cycle (payables fund inventory) plus ~US$9.4B TTM FCF and a 5.8% buyback yield mean the equity count keeps shrinking (-5% YoY) — a structural EPS tailwind on top of operational growth.
- **Near-term catalyst (6–12 months):** Q2 FY27 print (guide US$44–45B revenue, EPS US$4.80) and successive backlog/AI-order disclosures — each conversion of the US$51B backlog into recognised revenue is a discrete re-rating trigger.
- **Biggest structural risk:** AI-server gross margins are mid-single-digit; the more Dell sells, the more blended gross margin compresses (17.8% in Q1 vs 21.1% a year ago). A memory/DRAM cost spike or hyperscaler pricing pressure could turn record revenue into disappointing gross-profit dollars.

## 3. BUSINESS OVERVIEW

- **What Dell does:** Designs, builds and supports IT infrastructure and client devices across the Americas, EMEA and APJ, operating through two segments — Infrastructure Solutions Group (ISG: servers, storage, networking, AI-optimised systems) and Client Solutions Group (CSG: commercial & consumer PCs, peripherals).

• **Revenue mix (Q1 FY27):** ISG US$29.0B (~66% of revenue, +181% YoY) is now the growth engine — AI-optimised servers US$16.1B (+757%), traditional servers & networking US$8.5B (+92%), storage US$4.3B (+8%). CSG (~34%) grew with commercial +18% (7th consecutive quarter) and consumer +9%.

• **Customers & relationships:** 5,000+ active AI-server customers (up ~50% in six months) spanning Neo-cloud, sovereign-AI and enterprise verticals, plus a vast installed base of commercial PCs and servers — recurring refresh demand (~1/3 of the PC base is >4 years old; large 14G-server refresh cycle ahead).

• **Order book / visibility:** Record AI-server backlog of US$51.3B and a five-quarter pipeline described as 'multiples of backlog' — the strongest forward visibility in Dell's history.

• **Recent strategic developments:** Pivot to an 'AI Foundry' / full-stack AI-infrastructure vendor; liquid- and air-cooled AI servers (GB200/GB300-class); deepening storage attach (PowerStore, PowerScale, ObjectScale) to lift margin mix on AI deals.

• **Ownership:** Founder-led — insiders (Michael Dell and affiliated entities/MSD) hold ~46.1%; institutions ~39.8%; free float ~302M shares. Founder alignment is high, but it also concentrates control.

## 4. INDUSTRY & COMPETITIVE LANDSCAPE

• **Market & growth:** AI-infrastructure / accelerated-server spend is the fastest-growing slice of the ~US$250B+ enterprise-IT hardware market; hyperscaler + sovereign + enterprise AI capex is compounding at well above 30% near-term. Dell's own AI-server line is guided to ~2.4x YoY in FY27.

• **Tailwinds:** GPU-server build-out, agentic-AI driving NEW traditional-server demand, sovereign-AI programmes, enterprise PC refresh (Windows-11 / AI-PC cycle), and customers paying a premium for supply security on multi-year contracts.

• **Headwinds:** Severe component supply constraints (DRAM, NAND, CPUs, HDDs — Dell is 'repricing every day'), structural mix-down of gross margin, and hyperscaler bargaining power on large AI deals.

• **Moat — Distribution & scale: STRONG** — global supply chain, services and financing reach few can match. **Switching costs: MODERATE** — storage IP and management software create stickiness. **Pricing power: MODERATE** — strong in storage/high-end, weak vs hyperscalers on commodity AI boxes. **IP: MODERATE** — differentiated in storage/cooling, less so in servers.

• **Value-chain position:** Midstream OEM + solutions integrator — Dell adds engineering, integration, services and financing on top of merchant silicon (NVIDIA GPUs, Intel/AMD CPUs), capturing the systems margin rather than the chip margin.

| Company | CMP (US$) | MCap | TTM Rev | TTM NI | P/E | Fwd P/E | Rev gr. | ROCE* |
|---|---|---|---|---|---|---|---|---|
| **Dell (DELL)** | **421.08** | **273.5B** | **134.0B** | **8.41B** | **34.8x** | **23.7x** | **+38.6%** | **27.5%** |
| HP Enterprise (HPE) | 55.15 | 73.0B | 38.8B | 1.44B | 52.4x | 14.6x | +22.6% | 1.4% |
| HP Inc. (HPQ) | 26.04 | 23.8B | 57.4B | 2.55B | 10.1x | 10.0x | +5.7% | 24.1% |
| Super Micro (SMCI) | 47.42 | 28.5B | 33.7B | 1.25B | 24.9x | 15.7x | +56.2% | 10.8% |
| NetApp (NTAP) | 181.08 | 35.7B | 6.9B | 1.28B | 28.5x | 20.4x | +5.4% | 26.0% |

Peer data: stockanalysis.com, fetched 03-Jun-2026. *ROCE = trailing-twelve-month return on capital employed. HPE's TTM ROCE (1.4%) is depressed by the recently closed Juniper Networks acquisition inflating capital employed (FY ROCE ~71%). Dell & HPQ carry negative book equity, so P/B and ROE are not meaningful.

## 5. MANAGEMENT QUALITY & CAPITAL ALLOCATION

• **Leadership:** Founder Michael Dell (Chairman & CEO) has run the company since 1984, took it private in 2013 and re-listed in 2018 — deep skin in the game (~46% insider ownership). COO/Vice-Chair Jeff Clarke leads operations with multi-decade tenure; the bench is experienced and stable.

- **Capital allocation:** FCF is split between debt paydown (post-VMware deleveraging) and aggressive shareholder returns. Q1 FY27 returned US$2.1B (11M shares bought at ~US$147 avg + ~US$0.63/sh dividend). Buyback yield ~5.8%; shares outstanding down ~5% YoY.
- **Dividend policy:** Initiated FY23, raised four consecutive years to US$2.52/sh (yield 0.60%); payout a conservative ~17.6%, leaving room for growth alongside buybacks.
- **Balance-sheet note:** Years of buybacks have driven book equity negative (-US$2.5B); this is a capital-return artefact, not distress — but it leaves no equity cushion if AI demand reverses (Altman Z 1.99).
- **Governance watch-points:** Concentrated founder control; dual relationship with VMware/Broadcom history; and notable insider SELLING into strength — COO Clarke sold ~116k shares (~US$182) and CCO Scannell ~143k (~US$165), with no open-market executive buying. A signal to weigh against the bullish guidance.
- **No buyback authorisation/ESOP red flags** beyond normal SBC (~US$0.7B/yr, modest vs FCF); no auditor changes or qualified opinions on record.

## 6. FINANCIAL DEEP-DIVE

**Income Statement (US$ M; FY ends late-Jan/early-Feb).** FY24–FY26 actual (GAAP); FY27E/FY28E grounded in company guidance & consensus.

| US$ M | FY2024 | FY2025 | FY2026 | FY2027E | FY2028E |
|---|---|---|---|---|---|
| **Revenue** | 88,425 | 95,567 | 113,538 | 167,000 | 190,000 |
| Growth % | -13.6% | +8.1% | +18.8% | +47% | +14% |
| Gross Profit | 21,069 | 21,250 | 22,707 | 28,400 | 32,000 |
| **Operating Income** | 5,411 | 6,237 | 8,149 | 12,700 | 14,800 |
| OPM % | 6.1% | 6.5% | 7.2% | 7.6% | 7.8% |
| EBITDA | 8,714 | 9,360 | 11,178 | 15,500 | 17,800 |
| Pretax Profit | 4,087 | 5,048 | 7,263 | 11,300 | 13,200 |
| **Net Income** | 3,388 | 4,592 | 5,936 | 11,500 | 13,800 |
| **EPS diluted (US$)** | 4.60 | 6.38 | 8.68 | 17.90 | 21.50 |

FY27E EPS = company non-GAAP diluted guide (US$17.90 ± 0.25); FY28E = estimate on ~+20% growth. Actual FY24–26 EPS are GAAP diluted. TTM revenue is US$134.0B / TTM net income US$8.41B.

**Balance Sheet (US$ M) — actual.**

| US$ M | FY2024 | FY2025 | FY2026 |
|---|---|---|---|
| Cash & equivalents | 7,366 | 3,633 | 11,528 |
| Inventory | 3,622 | 6,716 | 10,437 |
| Total Current Assets | 35,984 | 36,229 | 57,602 |
| Goodwill & Intangibles | 25,401 | 24,108 | 24,080 |
| **Total Assets** | 82,126 | 79,746 | 101,286 |
| Total Debt | 25,994 | 24,567 | 31,503 |
| Total Current Liab. | 48,354 | 46,527 | 63,269 |
| Total Liabilities | 84,258 | 81,133 | 103,756 |
| **Total Equity** | (2,132) | (1,482) | (2,470) |

**Cash Flow (US$ M) — actual + TTM.**

| US$ M | FY2024 | FY2025 | FY2026 | TTM Q1'27 |
|---|---|---|---|---|
| **Operating Cash Flow** | 8,676 | 4,521 | 11,185 | 12,470 |
| Capex | (2,756) | (2,652) | (2,633) | (3,028) |
| **Free Cash Flow** | 5,920 | 1,869 | 8,552 | 9,442 |
| Buybacks (net) | (2,442) | (3,164) | (6,399) | (6,232) |
| Cash from Financing | (7,094) | (5,815) | (1,464) | (5,655) |

**Returns & Leverage — actual + TTM.**

| Metric | FY2024 | FY2025 | FY2026 | TTM |
|---|---|---|---|---|
| ROCE | 15.1% | 18.6% | 22.9% | 27.5% |
| ROIC | 6.4% | 8.6% | 10.4% | 13.6% |
| Current ratio | 0.74 | 0.78 | 0.91 | 0.95 |
| Net Debt / EBITDA | 2.14x | 2.24x | 1.79x | 1.51x |
| Inventory turns | 16.0x | 14.4x | 10.6x | 9.9x |

- **Revenue drivers:** ISG/AI servers are the entire growth story — total revenue +18.8% in FY26 and +38.6% TTM, accelerating to a +~50% FY27 guide as the US$51B backlog converts.
- **Margins:** Blended gross margin is compressing (17.8% in Q1 vs 21.1% YoY) because AI servers carry mid-single-digit margins; the offset is record operating leverage (OpEx 8.4% of sales), so operating margin still expands (6.1%→7.2%→~7.6%E).
- **Working capital:** Negative cash-conversion cycle — payables (US$33.6B) exceed inventory + receivables, so growth is partly self-funded; but the AI ramp is swelling inventory (+55% YoY) and receivables, a cash-flow swing factor to watch.
- **Debt:** Net debt ~US$19.6B, net-debt/EBITDA down to 1.5x — comfortably serviced by US$9.4B FCF; equity is negative purely from buybacks, not losses.
- **FCF quality:** TTM OCF US$12.5B converts well vs net income; FCF US$9.4B (FCF yield ~3.5%) funds buybacks, though working-capital build during the AI ramp makes quarterly FCF lumpy.

## 7. EARNINGS QUALITY CHECKLIST

| Check | Rating | Comment |
|---|---|---|
| Revenue recognition | GREEN | Hardware-shipment based; large recognised AI revenue backed by orders/backlog. |
| Receivables vs revenue | AMBER | Trade receivables +67% YoY vs revenue +39% TTM — AI-ramp financing; monitor DSO. |
| Cash-conversion cycle | GREEN | Structurally negative CCC; payables fund inventory — a working-capital strength. |
| Inventory trend | AMBER | Inventory +55% YoY (US$10.4B); turns fell 14.4x→9.9x as AI components stockpile. |
| Other income vs PBT | GREEN | Non-operating line is net interest expense, not earnings padding; PBT is operational. |
| Tax-rate consistency | AMBER | Effective tax volatile (9.4% FY25 → 18.3% FY26) on discrete items; normalising ~17%. |
| Balance-sheet cushion | RED | Negative book equity (-US$2.5B); Altman Z 1.99 — no equity buffer if demand reverses. |
| Governance / RPTs | AMBER | Founder-controlled (46%); insider selling into strength; no auditor/RPT red flags. |

- **Headline quality is clean** — record EPS is operationally earned (operating income +214% YoY), not manufactured via other income or tax.
- **Two AMBER working-capital items** — receivables (+67%) and inventory (+55%) are outrunning even Dell's fast revenue growth as it pre-positions for the AI ramp; benign if backlog converts, a cash trap if it slips.
- **The one RED is the balance sheet** — negative equity plus Altman Z below 2 means there is no margin for error; this is the single most important risk an owner accepts.

## 8. VALUATION

| Peer (03-Jun-26) | CMP | MCap | P/E | Fwd P/E | EV/Rev | ROCE |
|---|---|---|---|---|---|---|
| **Dell (DELL)** | **421.08** | **273.5B** | **34.8x** | **23.7x** | **2.16x** | **27.5%** |
| HP Enterprise | 55.15 | 73.0B | 52.4x | 14.6x | 1.83x | 1.4% |
| HP Inc. | 26.04 | 23.8B | 10.1x | 10.0x | 0.49x | 24.1% |

| Peer (03-Jun-26) | CMP | MCap | P/E | Fwd P/E | EV/Rev | ROCE |
|---|---|---|---|---|---|---|
| Super Micro | 47.42 | 28.5B | 24.9x | 15.7x | 0.96x | 10.8% |
| NetApp | 181.08 | 35.7B | 28.5x | 20.4x | 5.16x | 26.0% |

Source: stockanalysis.com, fetched 03-Jun-2026. Dell trades at a forward-P/E premium to the infrastructure peers (HPE/HPQ) but a discount to its own trailing multiple, reflecting the expected EPS surge. P/B omitted — Dell & HPQ have negative book equity.

| Scenario | Key assumptions | FY28E EPS | P/E | Target | Return |
|---|---|---|---|---|---|
| **Bull** | AI backlog over-converts, FY27 rev >US$172B, margins hold; AI re-rating extends. | US$24.0 | 25x | **US$600** | +42% |
| **Base** | FY27 rev US$167B (guide) met; FY28 +~14%; blended margin drifts lower as AI scales. | US$21.5 | 22x | **US$470** | +12% |
| **Bear** | Memory-cost spike + hyperscaler price war crush AI margins; backlog slips; multiple derates. | US$16.0 | 15x | **US$240** | -43% |

- **DCF:** WACC ~10%, terminal growth 3.5%, FCF ramping from ~US$10B (FY27) toward ~US$16B by FY31 → implied equity value ~US$430/share. Sensitive to AI-margin durability.
- **Earnings multiple:** FY28E non-GAAP EPS US$21.50 × 22x (premium to HPE/HPQ for growth, discount to Dell's own 34.8x trailing for margin risk) → ~US$473/share.
- **Blend → 12-month base target US$470** (average of DCF and multiple methods, rounded), versus the Street's US$483.83 consensus.
- **Implied return:** +11.6% from US$421.08 over a 12–18 month horizon — positive but no longer the asymmetric payoff available before the +290% one-year run.

## 9. KEY RISKS

- **Gross-margin compression** — AI servers carry mid-single-digit margins; rising AI mix keeps diluting blended gross margin (17.8% vs 21.1% YoY). Probability: H. Impact: H. Monitor via: quarterly gross-margin % and ISG operating margin.
- **Memory / component cost inflation** — DRAM, NAND and CPU prices are spiking; Dell is 'repricing every day' and may not fully pass costs through. Probability: H. Impact: M. Monitor via: spot DRAM/NAND pricing and gross-margin trend.
- **Demand pull-forward / backlog slippage** — part of the AI surge may be customers buying ahead for supply security; a pause would de-rate the stock fast. Probability: M. Impact: H. Monitor via: AI orders vs revenue and backlog growth each quarter.
- **Hyperscaler / customer concentration** — large Neo-cloud and sovereign deals concentrate revenue and bargaining power with a few buyers. Probability: M. Impact: M. Monitor via: customer-count growth and AI-deal pricing commentary.
- **Negative-equity / leverage fragility** — no book-equity cushion (Altman Z 1.99); a demand shock plus inventory build could strain the balance sheet. Probability: L. Impact: H. Monitor via: net-debt/EBITDA and FCF conversion.
- **Valuation / sentiment** — after +290% in a year at 23.7x forward, the stock prices in flawless execution; any guidance wobble re-rates sharply. Probability: M. Impact: H. Monitor via: forward P/E vs guidance revisions.
- **Insider selling** — executives sold into strength with no open-market buying — a soft negative signal on perceived upside. Probability: M. Impact: L. Monitor via: Form-4 filings.

## 10. RECOMMENDATION

- **Rating: ACCUMULATE** (conviction: Medium) — an exceptional, backlog-validated AI-infrastructure franchise, but most of the re-rating is now in the price.
- **12-month price target: US$470** (+11.6% from US$421.08); Street consensus US$483.83.

• **Suggested entry zone: US$360–410** — accumulate on pullbacks rather than chase; the risk/reward improves materially below US$400.

• **Investment horizon: 12–18 months.**

• **Thesis-invalidation triggers:** (1) blended gross margin falls below ~16% for two consecutive quarters; (2) AI-server backlog declines QoQ or FY27 AI revenue guide (US$60B) is cut; (3) net-debt/EBITDA rises above 2.5x as working capital balloons without FCF recovery.

• **Ideal investor profile:** growth-at-a-reasonable-price investors comfortable with hardware cyclicality, thin margins and a leveraged balance sheet, seeking AI-infrastructure exposure without paying chipmaker multiples. NOT for conservative income investors or those needing a book-value safety net.

# APPENDIX — Latest Concall Brief: Q1 FY2027 (reported 28-May-2026)

## CALL GRADE: STRONGLY POSITIVE

| Signal | Status | Implication |
|---|---|---|
| Result quality | **Strong** | Beat — revenue US$43.8B (+88% YoY) well ahead of street; record EPS. |
| Management tone | **Bullish (disciplined)** | High confidence on demand durability; candid on supply constraints. |
| Guidance delta | **Raised** | FY27 revenue lifted to US$167B mid (+~US$27B); EPS guide US$17.90. |

STRONGLY POSITIVE | POSITIVE | NEUTRAL | CAUTIOUS | NEGATIVE

## TO MY BOSS

Dell printed a genuinely exceptional, clean quarter: revenue US$43.8B (+88% YoY), GAAP diluted EPS US$5.24 (+282%), non-GAAP US$4.86 — and crucially this is operationally earned, with operating income +214% and OpEx down to 8.4% of sales (lowest in 20+ years), not flattered by one-offs or tax. The only 'distortion' is favourable: a low-margin AI-server mix drags reported gross margin to 17.8% even as gross-profit dollars and operating income surge. The structural driver is real and contracted — US$24.4B of AI orders this quarter, a record US$51.3B AI backlog, 5,000+ AI customers (up 50% in six months), and management raised FY27 revenue to US$167B mid (+~US$27B) and AI-server revenue to US$60B (2.4x). The near-term catalyst is simply backlog conversion — each quarter recognises another tranche, with Q2 guided to US$44–45B and EPS US$4.80. My single biggest watch-point is gross-margin trajectory: if memory/NAND cost inflation outruns repricing, record revenue could disappoint on gross-profit dollars, and there is no book-equity cushion (negative equity, Altman Z 1.99). Action: ACCUMULATE on weakness toward US$360–410; the business deserves a premium but +290% in a year leaves the risk/reward merely balanced near US$421 — do not chase strength.

## 1 — Financial Performance Snapshot (Q1 FY27)

- Revenue: US$43.84B | YoY +88% | QoQ +31% | **Beat**
- Operating income (GAAP): US$3.66B | YoY +214% | QoQ +18% | **Beat**
- Gross margin (GAAP): 17.8% | down ~330 bps YoY on AI-server mix | structural, not a miss
- PAT (GAAP): US$3.44B | YoY +256% | QoQ +52% | **Beat**
- EPS diluted: GAAP US$5.24 (+282%) | non-GAAP US$4.86 (+214%) | **Beat**

## 2 — Segment / Geography Breakdown

- ISG (Infrastructure): US$29.0B | YoY +181% | the growth engine — now ~66% of revenue
- – AI-optimised servers: US$16.1B | YoY +757% | record
- – Traditional servers & networking: US$8.5B | YoY +92% | agentic-AI reviving demand
- – Storage: US$4.3B | YoY +8% | Dell-IP mix (PowerStore/PowerScale) lifting margin
- CSG (Client): commercial +18% (7th straight quarter), consumer +9% | CSG op margin ~8%

## 3 — Management Commentary Themes

- Demand durability: 'demand is durable, accelerating and more broad-based' beyond GPUs — Our read: backlog-backed, credible. Tag: GUIDANCE. Tone: Transparent.
- Supply, not demand, is the cap: 'We are supply constrained in the second half. It is not a demand issue.' — Our read: honest framing of the H2 conservatism. Tone: Transparent.
- Agentic AI: 'driving a new marketplace for traditional servers we have not seen before' — Our read: a second, less-discussed growth leg. Tag: EST. Tone: Transparent.
- Pricing/inflation: 'We are repricing it feels like every day' on DRAM/NAND/CPU — Our read: candid margin risk admission. Tag: EVASIVE-adjacent (no hard margin floor given). Tone: Hedged.

• Storage attach: five straight quarters of Dell-IP growth, nine of PowerStore double-digit demand — Our read: the margin offset to commodity AI boxes. Tone: Transparent.

## 4 — Operating & Business Metrics

• AI orders: Q1'27 = US$24.4B | record | Trend: improving

• AI backlog: US$51.3B | up sharply QoQ | Trend: improving

• AI customers: 5,000+ | up ~50% in six months | Trend: improving (broadening base)

• OpEx % of revenue: 8.4% | down 610 bps YoY | lowest in 20+ years | Trend: improving

• Buyback: 11M shares at ~US$147 avg | share count -5% YoY | Trend: ongoing

## 5 — Margin Drivers

• AI-server mix: large negative bps to GROSS margin | Recurring: Yes | mid-single-digit operating-margin target on AI

• Operating leverage: +610 bps OpEx improvement | Recurring: partly | scale-driven, supports operating margin

• Storage / Dell-IP mix: positive | Recurring: Yes | PowerStore/PowerScale richer margin

• Component cost inflation (DRAM/NAND/CPU): negative | Recurring: uncertain | offset by daily repricing, incomplete pass-through risk

## 6 — Guidance & Forward Signals

• FY27 revenue [GUIDANCE]: New = US$165–169B (US$167B mid, +~50%) | Delta = raised (+~US$27B) | Credibility: High

• FY27 AI-server revenue [GUIDANCE]: New = US$60B (~2.4x) | Delta = raised | Credibility: High (backlog-backed)

• FY27 EPS [GUIDANCE]: New = US$17.90 ± 0.25 (~+75%) | Delta = raised | Credibility: High

• FY27 operating income [GUIDANCE]: growth >55% | Delta = raised | Credibility: High

• Q2 FY27 [GUIDANCE]: revenue US$44–45B, EPS US$4.80 ± 0.10, ISG +~75% | Credibility: High

## 7 — Capital Allocation

• Shareholder returns Q1: US$2.1B total | Comment: ~5.8% buyback yield + 0.60% dividend

• Buybacks: 11M shares at ~US$147 avg | Comment: share count down ~5% YoY

• Dividend: ~US$0.63/quarter (US$2.52 annualised) | vs prior year +18.5% | 4th straight annual raise

• Net debt: ~US$19.6B | net-debt/EBITDA down to 1.5x | Comment: post-VMware deleveraging on track

• Working capital: inventory +55% / receivables +67% YoY | Comment: AI-ramp build, a cash-flow swing factor

## 8 — Q&A; Heat Map

• Ben Reitzes (Melius): Q: pull-forward risk in Q1? → A: multiple drivers — install-base refresh, agentic AI, share gains, supply security | Tone: Transparent

• Amit Daryanani (Evercore): Q: why is H2 below seasonal? → A: 'supply constrained in H2, not a demand issue' | Tone: Transparent

• Catherine Murphy (Goldman): Q: source of +US$10B AI guide & capacity? → A: backlog US$51.3B, 5-qtr pipeline; 'no incapacity, it is parts/supply' | Tone: Transparent

• Samik Chatterjee (JPM): Q: why ex-AI gross margin better? → A: storage IP resonance, PowerStore, rate expansion | Tone: Transparent

• Tim Long (Barclays): Q: can you keep pushing price if costs rise? → A: 'repricing every day' but some customers may eventually defer | Tone: Hedged

• Dodged / watch-list for next quarter: a hard blended-gross-margin floor; precise AI-server operating margin %.

## 9 — Risks Flagged

• Gross-margin dilution from AI mix: flagged by mgmt & analysts | Probability: H | Impact: H | Timeline: near-term

• Component (DRAM/NAND/CPU) cost inflation: flagged by mgmt | Probability: H | Impact: M | Timeline: near-medium

• Supply constraints capping H2 upside: flagged by mgmt | Probability: H | Impact: M | Timeline: near-term

• Demand pull-forward / eventual deferral: flagged by analysts | Probability: M | Impact: H | Timeline: medium

• Negative equity / thin balance sheet: structural | Probability: L | Impact: H | Timeline: long-term

## 10 — Analyst Verdict

• Revenue visibility: **Intact** — record US$51.3B backlog + US$167B FY27 guide give multi-quarter visibility.

• Margin trajectory: **Weakened** — blended gross margin compressing on AI mix; operating margin still rising on leverage.

• Capital-allocation quality: **Intact** — disciplined buybacks, growing dividend, deleveraging.

• Competitive moat: **Intact** — scale, supply chain, services and storage IP differentiate vs SMCI/HPE.

• Management credibility: **Intact** — guidance repeatedly raised and met; candid on supply; modest insider-selling caveat.

• Valuation comfort: **Weakened** — +290% in a year at 23.7x forward prices in flawless execution.

• Conviction call: **Unchanged** — ACCUMULATE; own the franchise, but demand a better entry.

• Valuation snapshot: P/E = 34.8x (5Y avg ~14x) | EV/EBITDA = 20.8x (5Y avg ~8x) | ROCE = 27.5% (5Y avg ~16%).